BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

The Brooklyn Union Gas Company d/b/a National Grid NY &
KeySpan Gas East Corporation d/b/a National Grid

Cases 19-G-0309 & 19-G-0310

August 2019

Prepared Testimony of:

Staff Pipeline Safety Panel

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Q. Members of the Staff Pipeline Safety Panel, please state your names, employer and business addresses.

A. Our names are Suresh Thomas, Jonathan Mercurio, Michael Pasinella, and Ranny Chow. We are employed by the New York State Department of Public Service (Department). Our business addresses are Three Empire Plaza, Albany, New York 12223, and 90 Church Street, 4th Floor, New York, New York 10007.

Q. Mr. Thomas, what is your position at the Department?

A. I am employed as a Utility Supervisor in the Pipeline Safety Section of the Office of Electric, Gas, and Water.

Q. Please summarize your education and work experience.

A. I graduated from Mahatma Gandhi University in 1992 with a Bachelor of Science degree in Mechanical Engineering. I have been employed by the Department since July 2001 in the New York City Office. I have oversight responsibility for the pipeline safety section field Staff who audit pipeline operators for compliance with the

applicable State and Federal regulations to ensure pipeline safety. Prior to my employment at the Department, from 1999 to July 2001, I worked for the City of New York's Housing Preservation and Development Department as a housing inspector. From 1998 to 1999, I served as an engineer with Valence Technology, Inc., located in Henderson, Nevada. From 1995 to 1997, I worked as a project engineer for Lloyd Insulation Limited, providing oversight on thermal insulation projects related to the petrochemical and power plant industries. Lastly, from 1993 to 1994, I participated in a one-year apprenticeship program at a crude oil refinery.

Q. Have you previously provided testimony before the Public Service Commission (Commission)?

A. Yes. I provided testimony in various cases, including Case 02-W-1564, Sea Cliff Water Company; Case 03-W-1182, Heritage Hills Water Works Corporation; Cases 05-G-1494, 08-G-1398, and 14-G-0494, Orange and Rockland Utilities, Inc. (Orange and Rockland); Cases 13-G-0031, 13-S-0032, and 19-G-0066, Consolidated Edison

Company of New York, Inc. (Con Edison); Case 16-G-0058, KeySpan Gas East Corporation d/b/a National Grid (KEDLI); and Case 16-G-0059, The Brooklyn Union Gas Company d/b/a National Grid NY (KEDNY).

Q. Mr. Mercurio, what is your position at the Department?

A. I am employed as a Utility Engineering Specialist 3 in the Pipeline Safety Section of the Office of Electric, Gas and Water.

Q. Please summarize your education and work experience.

A. I graduated from Farmingdale State College, State University of New York in 2008 with a Bachelor of Science degree in Electrical Engineering Technology. I have been employed by the Department since 2009 in the New York City Office. I am familiar with Federal and State pipeline safety regulations, as well as with the operations of major gas utilities in New York State. My duties include reviewing proposed pipeline designs, reviewing proposed updates to utility operations and maintenance procedures, and reviewing proposed changes to Federal and

State pipeline safety regulations. In addition, I perform record and field audits of local distribution companies and interstate pipelines to ensure compliance with the Federal and state pipeline safety regulations. I also inspect construction activities of local distribution companies and interstate pipelines to ensure compliance with federal and state pipeline safety regulations.

Q. Have you previously provided testimony before the Commission?

A. Yes. I provided testimony in Case 10-E-0362, Orange and Rockland; and Cases 13-S-0032 and 16-G-0061, Con Edison.

Q. Mr. Pasinella, what is your position at the Department?

A. I am employed as a Utility Engineering Specialist 2 in the Pipeline Safety Section of the Office of Electric, Gas and Water.

Q. Please summarize your education and work experience.

A. I graduated from Clarkson University in 2009 with a Bachelor of Science degree in Civil Engineering. I have been employed by the

Department since December 2010. I am familiar with Federal and State pipeline safety regulations, as well as with the operations of major gas utilities in New York State. My duties include reviewing proposed pipeline designs and proposed updates to gas utility operations and maintenance procedures, processing petitions and waivers relating to code compliance matters, reviewing proposed changes to Federal and State pipeline safety regulations, and enforcement of probable violations relating to damage prevention.

Q. Have you previously provided testimony before the Commission?

A. Yes. I provided testimony in various cases, including Case 14-G-0319, Central Hudson Gas & Electric Corporation (Central Hudson); Case 15-G-0284, New York State Electric & Gas Corporation; Case 15-G-0286, Rochester Gas and Electric Corporation; Case 16-G-0058, KEDLI; Case 16-G-0059, KEDNY, Case; Case 16-G-0257, National Fuel Gas Distribution Corporation; Case 17-G-0239, Niagara Mohawk Power Corporation d/b/a National Grid (Niagara Mohawk); Case 18-G-

0068, Orange and Rockland; and Case 19-G-0066, Con Edison.

Q. Mr. Chow, what is your position at the Department?

A. I am employed as an Assistant Engineer in the Pipeline Safety Section of the Office of Electric, Gas and Water.

Q. Please summarize your education and work experience.

A. I graduated from the State University of New York at Buffalo in 2008 with a Bachelor of Science degree in Mechanical Engineering. I have been employed by the Department since March 2012. I am familiar with Federal and State pipeline safety regulations, as well as with the operations of the major gas utilities in New York State. My duties include conducting record, field, and construction inspections of local distribution companies and interstate pipeline operators to verify compliance with Federal and State pipeline safety regulations; conducting pipeline incident investigations and investigations of third-party damages; conducting investigations for safety-related

customer complaints; and reviewing proposed updates to utility operations and maintenance, and other programs.

Q. Have you previously provided testimony before the Commission?

A. No.

SCOPE OF TESTIMONY

Q. What is the purpose of the Staff Pipeline Safety Panel's testimony in this proceeding?

A. The purpose of our testimony is to address the proposals made by KEDNY and KEDLI (collectively the Companies) for safety performance measures in the areas of leak prone pipe (LPP) removal, leak management, damage prevention, emergency response, and compliance with the pipeline safety regulations. Our testimony will also address first responder training, residential methane detectors, the service line proceeding, New York City Local Law 152, outside meters, inactive accounts, methane leak pilot program, enhanced contractor safety inspections, buried vent lines, and annual reporting requirements.

Q. In this testimony, will the Panel refer to, or

otherwise rely upon, any responses to Information Requests (IRs) obtained during the discovery phase of this proceeding?

A. Yes, we will refer to, and have relied upon, several responses to IRs provided by the Companies. These responses are contained within Exhibit__(SPSP-1). We will refer to these responses by the designation given to them when sent, e.g., “DPS-100.”

Q. Does the Panel have any other exhibits?

A. Yes, we have seven additional exhibits. Exhibit__(SPSP-2) provides a breakdown of the high risk and other risk categories associated with Title 16 of New York Codes, Rules and Regulations (NYCRR) §§255 and 261, and 49 CFR §193. Exhibit__(SPSP-3), Exhibit__(SPSP-4), Exhibit__(SPSP-5), Exhibit__(SPSP-6), and Exhibit__(SPSP-7), are the 2013, 2014, 2015, 2016, and 2017 negative revenue adjustment letters, respectively. Exhibit__(SPSP-8) is a letter dated December 11, 2015 from the Deputy Director of the Office of Electric, Gas and Water communicating the pipeline safety performance measure reporting guidelines to the

Companies.

PIPELINE SAFETY PERFORMANCE MEASURES

Q. What is the purpose of pipeline safety performance measures?

A. The performance measures help to ensure reliable service by requiring local distribution companies (LDCs) to maintain focus on important safety areas. The performance measures for each respective LDC are derived from that company's actual historic performance levels, our knowledge of that company, and our experience with other LDCs across the State.

Q. Please explain the pipeline safety performance measures currently in place for the Companies.

A. Currently, the Companies have performance measures for LPP removal, leak management, damage prevention, emergency response, and compliance with the pipeline safety regulations. Pipeline Safety Staff has audited the Companies performance and will recommend disposition of any revenue adjustments.

Q. Do these performance measures have associated positive and negative revenue adjustments?

A. Both LPP removal and leak management have associated positive and negative revenue adjustments. The remaining performance measures only have associated negative revenue adjustments.

Q. What is the total basis point exposure for the Companies related to these adjustments?

A. Each Company is subject to a total adjustment of 150 basis points for negative revenue adjustments and a total of 15 basis points for positive revenue adjustments.

Q. Does the Panel recommend any modifications to these performance measures and associated positive and negative revenue adjustments?

A. Yes. We recommend positive revenue adjustments for leak management, damage prevention, and emergency response, removing the positive revenue adjustment for LPP removal, and the redistribution of the existing 150 negative revenue adjustments between performance measures.

Q. Please describe the Pipeline Safety Performance Measures Report.

A. The Pipeline Safety Performance Measures Report

is an annual report presented by Department Staff to the Commission. The report summarizes data, analyzes performance, and is used as a tool to track and identify LDC performance in the following areas of pipeline safety: damage prevention, emergency response, leak management, and compliance with the pipeline safety regulations.

Q. Where can the Pipeline Safety Performance Measures Report for recent years be found?

A. The Pipeline Safety Performance Measures Report can be found on the Commission's website. The most recent report can be found under 19-G-0298. That report contains data for calendar years 2014 through 2018.

LEAK PRONE PIPE REMOVAL

Q. What type of pipe is considered leak prone?

A. LPP generally includes cast iron, wrought iron, unprotected steel, and some early vintages of plastic pipe that can become brittle. Pursuant to the Direct Testimonies of KEDNY and KEDLI's Gas Infrastructure and Operations (GIOP) Panels, the Companies' population of LPP consists of

unprotected steel, cast and wrought iron, copper, and certain early vintages of plastic pipe including Aldyl-A.

Q. Please explain the importance of removing cast iron pipe.

A. In general, cast iron pipe is brittle, susceptible to graphitization, which is a form of corrosion, and has low beam strength. Beam strength refers to the amount of load a structure can withstand before it fails. The low beam strength of cast iron pipe means that the material can fail if it is subjected to increased loading from a force pushing up or down on it, or from a loss of ground support. This characteristic makes the material particularly susceptible to stresses from underground forces or disturbances. Such disturbances include, but are not limited to, ground settlement, freeze-thaw cycles, soil erosion or nearby excavation activities. The physical characteristics of cast iron pipe make it more prone to catastrophic failure than cathodically protected steel or plastic pipe. In addition, segments of cast iron pipe are

joined by hub joints, also known as bell and spigot joints. Packing material, such as jute, was used in the joints to prevent leakage when cast iron pipelines were first installed. Unlike steel welded joints, these cast iron joints develop leaks over time.

Q. How does the removal of cast iron pipe contribute to the safety of the natural gas system?

A. Cast iron pipe tends to be located in densely populated areas where there are many enclosed structures, subsurface structures, and continuously paved areas. In the event of a major leak or pipeline failure, these environmental circumstances may lead to greater volumes of below-ground gas migration, particularly under paved areas and through connected subsurface structures, which creates an increased risk for fires or explosions. Removing this pipe reduces the potential for incidents resulting from major leaks and failures, thereby improving public safety.

Q. What is meant by the term unprotected?

A. Unprotected means that the pipe lacks adequate

cathodic protection, thus rendering it susceptible to corrosion. Unprotected steel pipe often has inadequate or no coating, which makes efforts to cathodically protect such pipe ineffective and uneconomic.

Q. How do LPP removal programs improve the safety of natural gas systems?

A. Leaks on underground piping can create safety risks to the public and potentially lead to serious incidents, resulting in injuries to persons or property damage. Therefore, removing LPP reduces these safety risks.

Q. Please explain the importance of removing unprotected steel pipe.

A. Data collected by the United States Department of Transportation, Pipeline and Hazardous Materials Safety Administration (PHMSA) shows that corrosion is a leading cause of pipeline failures, and that unprotected steel is typically the pipeline material that is most susceptible to corrosion.

Q. What other benefits are associated with the removal of LPP?

A. Removing LPP should reduce the number of active

leaks, lead to a decline in leakage rates on the distribution system, and reduce the operating, maintenance, and overtime costs associated with surveying leaks and responding to emergency reports.

Q. Please describe the LPP removal component of the pipeline safety performance measures.

A. This component is designed to ensure that a company continues to proactively remove LPP from its system. Typically, a company would only remove LPP to ensure compliance with the pipeline safety regulations, to respond to significant customer complaints, or through coordinated municipal or state projects where a portion of the associated costs are shared.

Q. Do the Companies currently have LPP removal programs?

A. Yes.

Q. How do the Companies prioritize the removal of LPP?

A. The pipe to be removed from service is identified and ranked using a risk assessment model-based approach.

Q. What is a risk assessment model?

A. A risk assessment model prioritizes all segments of LPP according to attributes that pose the highest associated risk. The model uses several weighted factors, such as material type, diameter, pressure, date of installation, and leak history, to determine a ranking. This allows the Companies to provide a higher level of public safety by focusing its efforts on pipeline segments with higher risk. Although there are commonalities between the State's LDCs, it is important to note that the model has been tailored to the Companies unique mix of assets and may not be appropriate for other LDCs. A uniform approach cannot accommodate the characteristics that must be considered for each system.

Q. Do the Companies remove leak prone services in conjunction with their LPP programs?

A. Yes. When removing LPP, it is common to group mains and services together within a single project. These efforts provide the most cost-efficient approach towards removing LPP, in addition to minimizing the time a customer is without service.

Q. What current LPP removal requirements apply to KEDNY and KEDLI?

A. The Commission's December 16, 2016 Order Adopting Terms of Joint Proposal and Establishing Gas Rate Plans in Cases 16-G-0058 and 16-G-0059 (2016 Rate Order), required KEDNY to remove a minimum of 50 and 55 miles of LPP in 2017 and 2018, respectively, and a cumulative minimum of 180 miles of LPP from 2017 through 2019. The 2016 Rate Order also required KEDLI to remove 105 miles of LPP in 2017, and 125 miles of LPP in 2018, and a cumulative minimum of 405 miles of LPP from 2017 through 2019. Should either of the Companies fail to meet these requirements, that Company would be subject to negative revenue adjustments.

Q. Are there currently positive revenue adjustments for LPP removal?

A. Yes. For each full mile, beginning with the second full mile of LPP removed above specified threshold levels, the Companies would earn a positive revenue adjustment of two basis points. For KEDNY, the thresholds were 57, 62, and 67 miles in calendar years 2017, 2018 and 2019,

respectively. For KEDLI, the thresholds were 117, 137 and 157 miles in calendar years 2017, 2018 and 2019, respectively. Each Company could earn a maximum of 10 basis points per calendar year.

Q. How did the Companies perform in 2017?

A. In their response to IR DPS-159, KEDNY and KEDLI explained that they removed 57.8 and 115.9 miles, respectively, of LPP in 2017.

Q. How did the Companies perform in 2018?

A. In their response to IR DPS-665, KEDNY and KEDLI stated that they removed 63.7 and 138.0 miles, respectively, of LPP in 2018.

Q. Were either KEDNY or KEDLI subject to any revenue adjustments for either 2017 or 2018?

A. Yes. For 2017, KEDNY earned a positive revenue adjustment of two basis points for its performance. For 2018, both KEDNY and KEDLI earned positive revenue adjustments of four basis points each.

Q. Did the Companies propose any modifications to their LPP programs?

A. Yes. KEDNY proposes to increase its LPP removals by five miles per year as it has

experienced an increase in leak rates, and KEDLI proposes to maintain its current level of LPP removals as its leak rates have stabilized. Both Companies propose cumulative LPP removal targets, to maintain positive and negative revenue adjustments, and to proactively remove pre-1974 high-density polyethylene services.

Q. At the Companies proposed removal rates, how long will it take to retire all LPP from their service territories?

A. In their response to IR DPS-158, KEDNY and KEDLI explain that they have approximately 1,509 and 3,515 miles, respectively, of LPP remaining on their systems. At the proposed removal rates, both Companies programs would be completed in approximately 19 years, or by 2038.

Q. How do the Companies LPP removal programs compare with those of other LDCs?

A. KEDNY and KEDLI have two of the larger inventories in terms of miles of LPP remaining in the State. Further, based on their current proposals, we anticipate KEDNY and KEDLI to be the last LDCs in the State to complete the removal of known LPP. Since the condition of

LPP deteriorates with time, while the corresponding risk increases, we would not recommend a reduction to either of the proposed removal rates. In addition, we note that, with inflation, the cost to customers for removal in later years will certainly be more than the removal of that same pipe now.

Q. Does the Panel agree with the annual and cumulative removal targets proposed by the Companies?

A. We agree with the proposed annual removal targets. As our testimony addresses a single rate year, cumulative targets are not necessary.

Q. Does the Panel agree with continuing the associated positive revenue adjustments for LPP removal?

A. No. Associated positive revenue adjustments are further discussed in the Staff Policy Panel Testimony.

Q. Does the Panel agree with the associated negative revenue adjustments for the LPP removal targets?

A. Yes. We agree each Company should incur negative revenue adjustments of 15 basis points

should that Company fail to meet its annual LPP removal targets.

Q. Why does the Panel consider the increase in exposure from the current eight to 15 basis points reasonable?

A. As previously discussed, the removal of cast iron, wrought iron, and unprotected steel piping enhances system safety and integrity, and reduces methane emissions from actively leaking pipe. For these reasons and based on the magnitude of the Companies' LPP removal programs, the corresponding increase in exposure is reasonable.

Q. Will the LPP removal targets affect the Companies risk assessment model?

A. No. We expect that KEDNY and KEDLI will continue to use their risk assessment models to rank segments of pipe for removal so that they remove the pipe that presents the greatest risk to the public before they remove lower-risk pipe. At the same time, we acknowledge that KEDNY and KEDLI should be given the flexibility to complete opportunistic removals, such as geographic area approaches, or in conjunction

with other entities such as municipal repaving projects. That said, overall risk reduction should remain the main driver of the removal program. In other words, if using the geographic area replacement approach, the areas removed should contain high-risk segments.

Q. Does the Panel have any other recommendations regarding the removal of LPP?

A. Yes. As the Companies discover additional LPP, they should identify strategies to accelerate the removal of this pipe, while maintaining the current schedule for completing their LPP programs. An example of this are the proactive removals of pre-1974 high-density polyethylene services.

Q. Are there any other conditions the Panel recommends the Commission impose on the Companies regarding these recommendations?

A. Yes. We recommend that both KEDNY and KEDLI submit annual reports to the Secretary of the Commission detailing their LPP removal progress. This report, at a minimum, should include material type, mileage, project location, rank of the segments removed at the time of removal

using the risk-based model, project cost, and a forecast of the scheduled LPP removal projects and their rank on the risk-based removal model for the upcoming calendar year. The report should also include a reconciliation of proposed versus actual removals. The Companies should be required to submit these reports no later than 45 days after the end of each calendar year.

Q. Should the LPP removal targets or the associated revenue adjustments expire?

A. No. The LPP removal targets and associated revenue adjustments should remain in effect until changed by the Commission.

LEAK MANAGEMENT

Q. Please explain the term leak management.

A. Leak management refers to a utility's ability to monitor and repair existing and newly discovered leaks on its natural gas system.

Q. Do the Companies currently have a safety related target for leak management?

A. Yes.

Q. Does failure to meet the total leak management targets trigger negative revenue adjustments?

A. Yes. Should either KEDNY or KEDLI fail to meet their total leak management targets, that Company would be subject to a four basis point negative revenue adjustment.

Q. Please explain the total leak management target.

A. The total leak management target encompasses Type 1, Type 2A, Type 2, and Type 3 leaks as defined by 16 NYCRR §§255.811, 255.813, 255.815, and 255.817, respectively.

Q. How have the Companies performed in recent years with regards to the total leak management target?

A. In their responses to IRs DPS-114, DPS-124, and DPS-125, KEDNY and KEDLI state that they each met their respective calendar year-end targets from 2014 through 2018.

Q. Were there associated positive revenue adjustments for any of the previous five calendar years?

A. Yes. Beginning in calendar year 2017, KEDNY and KEDLI could each earn positive revenue adjustments as follows: one basis point for eliminating 50 of the highest volume emitting Type 3 leaks; two basis points for eliminating

100; three basis points for eliminating 150; four basis points for eliminating 200; and five basis points for eliminating 250.

Q. Did either Company earn positive revenue adjustments for either of the previous two calendar years?

A. In the response to IR DPS-666, KEDNY stated that it eliminated 261 and 205 of the highest volume emitting Type 3 leaks in calendar years 2017 and 2018, respectively, and KEDLI stated that it eliminated 303 and 275 of the highest volume emitting Type 3 leaks in calendar years 2017 and 2018, respectively. Thus, KENDY earned positive revenue adjustments of five and four basis points for 2017 and 2018, respectively, and KEDLI earned five basis points in each year.

Q. Did either of the Companies propose to update or modify their total leak management targets?

A. Yes. Both KEDNY and KEDLI proposed to reduce their total leak management targets by 150 and 750, respectively, per calendar year.

Q. Please explain what this means.

A. Currently, KEDNY and KEDLI have year-end targets of 3,250 and 8,500 or fewer total leaks,

respectively. The Companies propose year-end targets of 3,100 and 7,750 or fewer total leaks, respectively, for calendar year 2020.

Q. Did the Companies propose to update or modify the associated negative revenue adjustments?

A. Yes. The Companies propose that, should either KEDNY or KEDLI fail to meet its total leak management targets, that Company would be subject to a five basis point negative revenue adjustment.

Q. Did the Companies propose to update or modify the associated positive revenue adjustments?

A. No.

Q. Is there a difference between repairable and total leak backlogs?

A. Yes. As explained earlier, total leak backlogs encompass Type 1, Type 2A, Type 2, and Type 3 leaks. Repairable leak backlogs exclude Type 3 leaks because they are considered non-hazardous and are reasonably expected to remain that way.

Q. Do the Companies have repairable leak management targets?

A. Yes.

Q. Does failure to meet the repairable leak

management targets trigger negative revenue adjustments?

A. Yes. Should either KEDNY or KEDLI fail to meet its repairable leak management targets, that Company would be subject to an eight basis point negative revenue adjustment.

Q. How have the Companies performed in recent years with regards to the repairable leak management target?

A. In their responses to IRs DPS-114, DPS-124, and DPS-125, KEDNY and KEDLI explained that each Company met its respective calendar year-end targets for 2014 through 2018.

Q. Were there associated positive revenue adjustments for any of the previous five calendar years?

A. No.

Q. Did either of the Companies propose to update or modify their repairable leak management targets?

A. No.

Q. Did the Companies propose to update or modify their associated negative revenue adjustments?

A. Yes. The Companies proposed that, should either KEDNY or KEDLI fail to meet its repairable total

leak management target, that Company would be subject to a 10 basis point negative revenue adjustment.

Q. What does the Panel recommend?

A. We recommend that KEDNY and KEDLI reduce their total leak management targets by 150 and 750, respectively, per calendar year. However, the total leak management targets should be reduced in calendar year 2020 from 3,100 and 7,750, to 2,200 and 6,600, respectively.

Q. Why should the calendar year 2020 targets be reduced to the levels recommended?

A. In the response to IR DPS-114, KEDNY and KEDLI explained that they have averaged an approximate 316 and 823 reductions in their respective total leak backlogs in each of the previous five calendar years. In 2018, KEDNY and KEDLI reported that their total leak backlogs were 2,803 and 8,199, respectively. At the averaged reduction rates, and in accounting for an additional calendar year, 2019, the respective total leak management targets should be reduced in calendar year 2020 to 2,200 and 6,600.

Q. Does the Panel recommend repairable leak

management targets?

A. Yes. The Panel recommends that the repairable leak management targets for both Companies be reduced from 25 to 20. In response to IR DPS-114, KEDNY and KEDLI reported that in 2018, their backlogs of repairable leaks were 10 and zero, respectively.

Q. Why are the Panel's total and repairable leak management targets reasonable?

A. KEDNY and KEDLI use both historic and active leaks as weighted factors when prioritizing segments within its risk assessment model. Therefore, the removal of LPP alone should reduce leak rates. As more and more of the Companies' systems are comprised of newly-installed piping, reductions in leak inventory should be easier to attain. Also, periodic monitoring is required for all leaks on natural gas systems. This monitoring ensures that these leaks have not become an increased threat to public safety. Monitoring such leaks requires a physical visit to the location with work required to be performed by a qualified person using properly calibrated equipment. The

reduction in the amount of this work, in addition to the reduction of losses of natural gas due to leakage, would result in less costs for customers.

Q. What does the Panel recommend with regard to the associated negative revenue adjustments?

A. Each Company should be required to meet its annual repairable or total leak management targets on at least one day from December 26th through December 31st of the calendar year. If either Company fails to meet either its repairable or total leak management targets, we recommend that Company incur a negative revenue adjustment of 10 and five basis points, respectively.

Q. Why does the Panel consider the increase in combined exposure from the current 12 basis point to 15 basis points reasonable?

A. The Panel recommends increases to the negative revenue adjustments associated with leak management targets by three basis points to reflect the targets' importance and the corresponding risk unrepaired leaks pose to the public. The Companies' expeditious repair of

leaking pipelines enhances system integrity and safety and reduces methane emissions from the leakage. This reallocation is also consistent with recent performance measures for other LDCs.

Q. Why should the Companies be given from December 26th through December 31st of the calendar year to meet their leak management targets?

A. On an annual basis, the Companies strive to reduce their respective leak backlogs while new leaks are discovered daily. Therefore, a five-day threshold should be established during which each Company can meet its targets. This eliminates the potential for a target being missed due to an increase of discovered leaks on the last day of the calendar year. Should the repairable or total leak backlogs on any day from December 26th through December 31st fall below the established leak management targets, the Companies would be considered to have met the applicable target. In addition, only successful elimination of a leak will be considered a valid leak repair.

Q. What does this Panel mean by successful elimination of a leak?

A. Successful elimination of a leak means that the applicable company has either performed multiple inspections, two or more, to confirm that zero-percent gas-in-air readings have been maintained, or a recheck has been completed as set forth in the Commission's pipeline safety regulations.

Q. Are rechecks required for all leak types?

A. No. Pursuant to 16 NYCRR §255.819(a), upon completing a Type 1, Type 2A, or Type 2 leak repair, KEDNY and KEDLI must conduct a follow-up inspection between 14 and 30 days following the repair date to validate the repair. There is no follow-up inspection requirement for Type 3 leaks.

Q. Although not required by the Commission's regulations, should the Companies perform follow-up inspections for Type 3 leak repairs?

A. Yes, this Panel recommends that the Companies perform follow-up inspections for all Type 3 leak repairs and include these inspections in their procedures.

Q. How does the requirement that the elimination of a leak be confirmed as successful affect the

leak management measure?

A. If KEDNY or KEDLI repairs a leak or leaks within the final five working days of the calendar year, it would have, in theory, met its targeted levels for performance. However, until the follow-up inspection confirms successful elimination of the leaks, those leaks will remain in the backlog.

Q. Does the Panel recommend associated positive revenue adjustments for the leak management measure?

A. Yes. For every 100 additional leaks repaired beyond the total leak management targets, the Companies should earn two basis points. The incentive would not be pro-rated. For example, if one of the Companies' repaired 199 additional leaks, that would entitle that Company to a two-basis point positive revenue adjustment. Further, these positive revenue adjustments should be capped at six basis points, or 300 additional leak repairs.

Q. Should either of the leak management targets or the associated revenue adjustments expire?

A. No. These leak management targets and

associated revenue adjustments should remain in effect until changed by the Commission.

DAMAGE PREVENTION

Q. Please explain the term damage prevention.

A. Damage prevention refers to a utility's ability to minimize damage to its natural gas system facilities caused by excavation activities. Damage to a pipeline can result in the uncontrollable release of natural gas and could lead to an incident.

Q. Please describe the performance measures related to the prevention of excavation damage.

A. Under their existing rate plans established in the 2016 Rate Order, KEDNY and KEDLI are subject to performance targets that measure the Companies progress in minimizing damages to its underground pipeline facilities and encourage the Companies to continuously strive to improve its performance. These performance targets include metrics for damage caused specifically by mismarks and by the Companies and their contractors, as well as the total number of damages per 1,000 one-call tickets. The total

damage category includes damages caused by mismarks, by the Companies and their contractors, excavator error, and damages that occur when an excavator failed to notify the one-call notification system of its proposed excavation work.

Q. What is the one-call notification system?

A. The one-call notification system is an organization that establishes and carries out procedures to protect underground facilities from damage due to excavation and demolition. Pursuant to 16 NYCRR §753-3.1 of the Commission’s pipeline safety regulations, excavators are required to provide notice of their intent to excavate to the one-call notification system. There are two one-call notification systems in New York State; Dig Safely New York, and New York 811. Both Companies service territories are covered by New York 811. Both Dig Safely New York and New York 811 record the pertinent information from the excavator and transmit that information to the member utilities that may be affected by the proposed excavation work. The affected

utilities then mark the location of their underground facilities to put the excavator on notice and allow the excavator to take necessary precautions to avoid damaging the surrounding facilities. Each incoming call to Dig Safely New York and New York 811 generates multiple outgoing notices to the affected utilities, including, but not limited to, natural gas, electric, telecommunications, water, and sewer companies. The notice received by the utility from the one-call notification system is referred to as a one-call ticket.

Q. What is a mismark?

A. A mismark occurs when a utility fails to accurately mark the location of its underground facility in response to the one-call ticket. Consistent with the requirements of 16 NYCRR Part 753, and for the purpose of this measure, a mismark is considered as any instance where the markings are off by more than two feet. It also includes any instances where the utility fails to mark facilities in response to a properly requested one-call ticket.

Q. What are damages by Company and Company

contractors?

A. These are damages to Company facilities that are caused by Company personnel or by contractors who are directly working for that Company.

Q. How does prevention of excavation damage benefit public safety?

A. These damages often cause interruptions of service to customers, building evacuations, and road closures. Explosions, fires, injuries, and fatalities, while less frequent, have also occurred as a result of these types of damages. Therefore, reducing these types of damages improves public safety.

Q. Describe the Companies historic performance as it relates to damage prevention.

A. The Companies historic performance is well documented in the most recent Pipeline Safety Performance Measures Report, filed in Case 19-G-0298, which can be obtained from the Commission’s website. The damage prevention metrics are measured as a ratio of damages per 1,000 one-call tickets. For the previous five calendar years, 2014 through 2018, KEDNY and KEDLI averaged 0.40 and 0.55 for damages due to

mismarks, 0.02 and 0.08 for damages caused by the Companies or their contractors, and 1.65 and 2.18 for total damages, respectively. In 2018, KEDNY and KEDLI performed at the following levels: 0.75 and 0.79 for damages due to mismarks; 0.03 and 0.15 for damages due to the Companies or their contractors; and 2.56 and 2.79 for total damages per 1,000 one-call tickets, respectively.

Q. Why were the Companies performance levels for calendar year 2018 significantly higher than that of their historic five-year averages?

A. Pursuant to the recommendations of an operational audit focused on the accuracy and effectiveness of data submitted by nine New York State natural gas and combination natural gas and electric LDCs, filed in Case 13-M-0314, both KEDNY and KEDLI were to exclude refreshed and retransmitted one-call tickets from their respective ticket counts. This exclusion of refreshed and retransmitted one-call tickets went into effect in calendar year 2018 and was in conformance with the required reporting guidance. Thus, both Companies experienced

significantly worse for calendar year 2018 when compared with that of their historic five-year averages.

Q. Were the Companies required to report their damage prevention in conformance with the criteria established for the Pipeline Safety Performance Measures Report?

A. Yes. Under their existing rate plans established in the 2016 Rate Order, both KEDNY and KEDLI were to collect data for the computation of their respective damage prevention performance in accordance with the criteria established for the Pipeline Safety Performance Measures Report.

Q. Do the Companies currently have safety-related targets associated with damage prevention?

A. Yes.

Q. Have either KEDNY or KEDLI failed to meet any of their previously-established damage prevention targets?

A. Yes. In their response to IR DPS-134, KEDNY and KEDLI reported their respective 2018 performance as follows: 0.75 and 0.79 for damages due to mismarks; 0.03 and 0.15 for damages due to the

Companies or their contractors; and 2.56 and 2.79 for total damages per 1,000 one-call tickets. Under their existing rate plans established in the 2016 Order, the Companies damage prevention targets were as follows: 0.42 and 0.60 for damages due to mismarks; 0.09 and 0.13 for damages due to the Companies or their contractors; and 1.87 and 1.87 for total damages per 1,000 one-call tickets, respectively. Thus, both KEDNY and KEDLI failed to meet their targets for mismarks and total damages, and KEDLI failed to meet its target for damages due to the Company or its contractors.

Q. Did the Companies incur negative revenue adjustments for their failure to meet the respective damage prevention targets?

A. Yes. For their performance in 2018, KEDNY and KEDLI incurred negative revenue adjustments of 14 and 18 basis points, respectively.

Q. Did the Companies propose to update or modify their damage prevention targets?

A. Yes. The Companies propose to consolidate the damage prevention measure by eliminating the targets for mismarks and for damages due to the

Companies or their contractors, to increase the associated negative revenue adjustments for the total damage targets, and to implement associated positive revenue adjustments for superior performance. In addition, both Companies requested one additional full-time equivalent advisor to educate and train municipal personnel, excavators, and contractors.

Q. Does the Panel support the elimination of the damage prevention targets?

A. Yes. We support the elimination of both damage prevention targets for mismarks and for damages due to the Companies or their contractors.

Q. Is the consolidation of the damage prevention measures consistent with other LDCs?

A. Yes. The damage prevention metrics have evolved to reflect the continued success in reducing overall damages. As the total number of damages for each category diminishes, having a meaningful comparison of minor fluctuations is not beneficial. The Commission adopted joint proposals with similar consolidations in recent cases, specifically, in the Commission’s March

15, 2018 Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans in Case 17-G-0239 for Niagara Mohawk; June 14, 2018 Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plan in Case 17-G-0460 for Central Hudson; and March 14, 2019 Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans in Case 18-G-0068 for Orange and Rockland.

Q. What does the Panel recommend regarding damage prevention metrics for the Companies?

A. We recommend restructuring the damage prevention metric to focus on the total damage prevention target with associated negative and positive revenue adjustments as follows: for a total damage performance rate per 1,000 one-call notifications greater than 2.50, the Companies would incur negative revenue adjustments of 20 basis points; for a rate between 2.25 and 2.50, the Companies would incur negative revenue adjustments of 10 basis points; for a rate between 2.00 and 2.25, the Companies would incur negative revenue adjustments of five basis points; for a rate between 1.50 and 2.00, the

Companies would not incur revenue adjustments; for a rate between 1.25 and 1.50, the Companies would earn positive revenue adjustments of five basis points; and for a rate less than 1.25, the Companies would earn positive revenue adjustments of 10 basis points. In reporting their performance on these damage prevention measures, the Companies should continue to comply with the Pipeline Safety Guidance provided in Exhibit__(SPSP-8).

Q. Why does the Panel consider the increase in exposure for damage prevention from 18 basis points to 20 basis points reasonable?

A. We recommend an increase to the negative revenue adjustments associated with damage prevention by two basis points to encourage the Companies to enhance their respective damage prevention programs. As we previously explained, these damages often cause interruptions of service to customers, building evacuations, and road closures. Explosions, fires, injuries, and fatalities, while less frequent, also have occurred as a result of these damages. Therefore, reducing these types of damages

improves public safety. This re-allocation is also consistent with recent re-allocations for other LDCs.

Q. Why are the Panel's recommended targets reasonable?

A. Given the total volume of one-call notifications in the Companies' respective service territory, and the inherent risks associated with excavation work, public safety should be of the utmost importance. In addition, as the Companies remove older LPP, damages due to mismarks should fall due to more updated and accurate records.

Q. Are damages due to mismarks, the Companies, and their contractors within KEDNY's and KEDLI's control?

A. Yes.

Q. Are total damages also within the Companies control?

A. Not entirely. Specifically, damages caused by failure to notify New York 811, sometimes referred to as no-calls, and/or unsafe excavator practices are not within the control of the Companies. However, the Companies can minimize

these damages by influencing excavator activity through education and outreach efforts, by continuing to bill excavators for repair costs when the excavator is at fault, and by referring problem excavators to Pipeline Safety Staff for enforcement purposes. In addition, KEDNY and KEDLI should consider developing best practices, in conjunction with trade associations or other organizations focused on protecting underground facilities, such as the Common Ground Alliance.

Q. Are damages due to no-calls a component of the total damage prevention measure?

A. Yes. Damages due to no-calls are instances where the excavator failed to provide notice of intent to excavate to the one-call notification system, and thus no ticket was generated. This measure, which is a part of the total damages calculation, provides insight into the general awareness of excavators of the one-call notification system.

Q. How does Pipeline Safety Staff assist LDCs with enforcement of damage prevention?

A. For nearly two decades, Pipeline Safety Staff has conducted an enforcement program, which

includes the collection of penalties for violating the Commission's damage prevention regulations. In 2007, this program was expanded to include instances of damage due to no-calls. Damages due to no-calls are the most straightforward instances of violations of 16 NYCRR Part 753. The enforcement of such damages requires minimal LDC participation, results in greater excavator awareness, and can lead to a lower rate of damage to underground pipeline facilities. In addition, when promptly notified and resources are available, Pipeline Safety Staff provides aid to LDCs by performing on-site investigations.

Q. Should either of the damage prevention targets or the associated revenue adjustments expire?

A. No. These damage prevention targets and associated revenue adjustments should remain in effect until changed by the Commission.

EMERGENCY RESPONSE

Q. Please describe the emergency response performance measures applicable to KEDNY and KEDLI.

A. Pipeline safety regulations require each utility to provide a monthly report of the total number of reports received, and responded to, in 15-minute intervals during normal business hours, weekdays outside of normal business hours, weekends, and holidays. These measures evaluate utility response to gas leak, odor, and emergency reports generated by the public and non-Company personnel. Staff and LDCs jointly established the following standards for the emergency response performance measures: respond to 75 percent of all gas leak, odor, and emergency reports within 30 minutes; respond to 90 percent of all gas leak, odor, and emergency reports within 45 minutes; and respond to 95 percent of all gas leak, odor, and emergency reports within 60 minutes.

Q. What is the significance of the emergency response performance measure?

A. Leaks on inside piping, improperly operated or installed appliances, and gas migration into a building from leaks on outside piping all present risks to the public. The Companies recognize this and dispatch personnel on a

priority basis in response to reports of gas leaks, odors, or emergencies. All LDCs are required to maintain a log of such reports and track the elapsed time between the dispatch and arrival of qualified personnel responding to the scene. As the LDC's response times increase, so does the potential for an incident or safety related condition to the public. Therefore, it is imperative that LDCs minimize their response times to gas leaks, odors, or emergency reports.

Q. Do the Companies currently have targets for their emergency response performance?

A. Yes. Both KEDNY and KEDLI are subject to the aforementioned standards for the emergency response performance measures developed by Staff and the LDCs. Failure to meet the 30, 45, or 60-minute measures results in negative revenue adjustments of six, four, and two basis points, respectively. The Companies can request exclusions of gas leak, odor, and emergency reports resulting from mass area complaints, major weather related occurrences, or major equipment failures, or instances where one of the Companies receives 20 reports or more within

any two-hour period and for the duration of such mass area event.

Q. How have the Companies performed in their emergency response efforts?

A. For each of the previous five calendar years, 2014 through 2018, the Companies exceeded the established minimum performance levels.

Q. Specifically, in 2018, how did the Companies perform in their emergency response efforts?

A. In their amended response to IR DPS-132, KEDNY and KEDLI explained that, respectively, they responded to 80.0 and 77.2 percent of gas leak, odor, and emergency reports within 30 minutes, 95.2 and 95.9 percent of gas leak, odor, and emergency reports within 45 minutes, and 98.5 and 99.7 percent of gas leak, odor, and emergency reports within 60 minutes.

Q. Do the Companies propose to update or modify their emergency response targets?

A. No. Both KEDNY and KEDLI propose to maintain the existing emergency response targets.

Q. Do the Companies propose to update or modify the associated revenue adjustments?

A. Yes. Both KEDNY and KEDLI propose to increase

the associated negative revenue adjustments from six, four, and two basis points to 12, eight, and five basis points, and to institute positive revenue adjustments for exceeding the 30-minute target.

Q. Please explain the Companies' proposed positive revenue adjustments.

A. KEDNY and KEDLI propose that they earn the following positive revenue adjustments: two basis points for responding to 86.00 through 87.99 percent of gas leak, odor, and emergency reports within 30 minutes; four basis points for responding to 88.00 through 89.99 percent of gas leak, odor, and emergency reports within 30 minutes; and six basis points for responding to 90.00 percent or greater of gas leak, odor, and emergency reports within 30 minutes.

Q. What does the Panel recommend with regard to targets for this measure?

A. We recommend that both KEDNY and KEDLI continue to be required to respond to 75 percent, 90 percent, and 95 percent of all gas leak, odor, and emergency reports within 30, 45, and 60 minutes, respectively.

Q. What does the Panel recommend with regard to the Companies' ability to exclude certain mass area events from this measure?

A. The Companies should be allowed to continue to request exclusions of gas leak, odor, and emergency reports resulting from mass area events, major weather-related occurrences, and major equipment failure. For each requested exclusion, the Companies must provide notification to safety@dps.ny.gov within seven days of such event. Pipeline Safety Staff will consider these exclusions on a case-by-case basis and will respond to the Companies indicating whether it concurs with the request.

Q. What does the Panel recommend with regard to associated negative revenue adjustments for failing to meet the emergency response measures?

A. We agree with the Companies proposal to increase the basis point exposure as follows: failure to meet the 30, 45, or 60-minute targets would trigger negative revenue adjustments of 12, eight, or five basis points, respectively.

Q. Why does the Panel consider the increase in exposure from 12 basis points to 25 basis points

reasonable?

A. We recommend an increase to the negative revenue adjustments associated with emergency response of 13 basis points to reflect the importance of the Companies' response to gas leak, odor and emergency reports. Timely assessment of leaks on inside piping, improperly operated or installed appliances, and gas migration into a building from leaks on outside buried piping, improves both public and system safety.

Q. Why are these emergency response targets reasonable?

A. As mentioned above, shortening response times to gas leak, odor, and emergency reports reduces the potential for incidents or safety-related conditions.

Q. Does the Panel recommend positive revenue adjustments to encourage further improvement of the Companies' emergency response times?

A. Yes. The Panel agrees with the Companies proposals. Specifically, the Companies should have the opportunity to earn positive revenue adjustments as follows: two basis points for responding to 86.00 through 87.99 percent of gas

leak, odor, and emergency reports within 30 minutes; four basis points for responding to 88.00 through 89.99 percent of gas leak, odor, and emergency reports within 30 minutes; and six basis points for responding to 90.00 percent or greater of gas leak, odor, and emergency reports within 30 minutes.

Q. Is this positive revenue adjustment consistent with that of other LDCs?

A. Yes. This proposal was first introduced by Staff in Case 17-G-0239 for Niagara Mohawk, then again in Case 17-G-0460 for Central Hudson, Case 18-G-0068 for Orange and Rockland. The Commission adopted joint proposals including consistent positive revenue adjustments in each of those cases. Staff also recommended similar positive revenue adjustments in Case 19-G-0066 for Con Edison. That case is still pending.

Q. Why does Staff only recommend a positive revenue adjustment for the 30-minute target?

A. By their very nature, the 30, 45, and 60-minute emergency response targets are all related; as such, an improvement to the 30-minute performance would directly result in

improvements to both the 45 and 60-minute emergency response targets.

Q. Should either of the emergency response targets or the associated revenue adjustments expire?

A. No. The emergency response targets and associated revenue adjustments should remain in effect until changed by the Commission.

COMPLIANCE WITH THE PIPELINE SAFETY REGULATIONS

Q. Where are the Commission’s pipeline safety regulations located?

A. The Commission’s pipeline safety regulations are located within 16 NYCRR Part 255. There are also relevant statutory provisions in the General Business Law and the Public Service Law.

Q. How are violations identified?

A. Pipeline Safety Staff conducts periodic audits, investigates incidents involving natural gas and liquified natural gas facilities, and investigates complaints related to natural gas and hazardous liquid pipeline systems. Typically, when Pipeline Safety Staff discovers an instance of non-compliance with the Commission’s pipeline safety regulations, a

compliance meeting is held with the affected company to detail the code section(s) related to the instance(s) of non-compliance.

Q. What is the purpose of the compliance meeting?

A. The compliance meeting is an opportunity for the affected company to provide information clarifying any deficiencies found by Staff. Such information might include explanations or records that were not available at the time of the audit or investigation.

Q. How long does the affected company have to provide this information?

A. The affected company is required to provide this information within five business days of the compliance meeting. After this period, Pipeline Safety Staff reviews the information available and issues a formal letter detailing the specifics of the violations with respect to the underlying regulations.

Q. Is the Panel generally concerned with any instances of non-compliance with the pipeline safety regulations?

A. In general, yes, this Panel is concerned that any number of violations could indicate a lack

of control, issues with quality assurance, or a culture that is willing to accept non-compliance with the pipeline safety regulations as the cost of doing business.

Q. Do the Companies currently have mechanisms to incent compliance with the pipeline safety regulations?

A. Yes. In its Order Adopting Terms of a Joint Proposal issued on June 13, 2013 in Case 12-G-0544, the Commission instituted a compliance mechanism for KEDNY. That mechanism applied for calendar years 2013 through 2016. In the 2016 Rate Order, the mechanism was updated for KEDNY, and a corresponding mechanism was instituted for KEDLI. That mechanism applied for calendar years 2017 through 2019.

Q. Please generally describe the mechanism.

A. KEDNY and KEDLI incur a negative revenue adjustment for each instance, referred to as an occurrence or violation, of non-compliance with the pipeline safety regulations. The amount of the negative revenue adjustment varies based on whether the non-compliance regards a high risk or other risk provision of the regulations.

Q. What is the difference between a violation and an occurrence?

A. Pipeline Safety Staff uses the term occurrence to describe the number of instances that a specific violation takes place, but for purposes of this compliance measure, there is no difference between the terms violation and occurrence. Historically, negative revenue adjustment letters noted the violation of a specific requirement and identified the total number of occurrences that requirement was violated. The term violation is commonly referred to in discussions and is widely understood within the pipeline industry. These words are and can be used interchangeably.

Q. How does the Panel account for violations for which the Companies cannot provide a record?

A. Pipeline Safety Staff considers it a violation when requested Company records are not provided or are found to be inaccurate.

Q. How are violations categorized?

A. Violations are categorized as either high risk or other risk and are based on the likelihood of risk to public safety. High risk refers to code

requirements that, if not followed, lead to a greater likelihood of an adverse impact on public safety relating to loss of life or property. A breakdown of code sections by risk category is provided in Exhibit__(SPSP-2).

Q. How did the Companies perform in 2013?

A. Pursuant to the negative revenue adjustment letter, contained in Exhibit__(SPSP-3), for 2013, Pipeline Safety Staff cited KEDNY for 161 high risk and 285 other risk violations, which resulted in a negative revenue adjustment of 15 basis points. In 2013, KEDLI was not subject to a non-compliance measure or associated adjustments.

Q. How did the Companies perform in 2014?

A. Pursuant to the negative revenue adjustment letter, contained in Exhibit__(SPSP-4), for 2014, Pipeline Safety Staff cited KEDNY for 63 high risk and 56 other risk violations which resulted in a negative revenue adjustment of 30 basis points. In 2014, KEDLI was not subject to a non-compliance measure or associated adjustments.

Q. How were the 2013 and 2014 non-compliance

adjustments treated in the 2016 Rate Order?

A. In the 2016 Rate order, the 2013 and 2014 non-compliance negative revenue adjustments were deferred for later use to offset costs associated with safety-related programs.

Q. How did the Companies perform in 2015?

A. Pursuant to the negative revenue adjustment letter, contained in Exhibit__(SPSP-5), for 2015, Pipeline Safety Staff cited KEDNY for 37 high risk and 23 other risk violations which resulted in a negative revenue adjustment of 37 and four-ninths basis points. In 2015, KEDLI was not subject to a non-compliance measure or associated adjustments.

Q. How did the Companies perform in 2016?

A. Pursuant to the negative revenue adjustment letter, contained in Exhibit__(SPSP-6), for 2016, Pipeline Safety Staff cited KEDNY for 16 high risk and 28 other risk violations, which resulted in a negative revenue adjustment of 18 and one-ninths basis points. In 2016, KEDLI was not subject to a non-compliance measure or associated adjustments.

Q. How did the Companies perform in 2017?

A. Pursuant to the negative revenue adjustment letter, contained in Exhibit__(SPSP-7), for 2017, Pipeline Safety Staff cited KEDNY for 15 high risk and 8 other risk violations, which resulted in a negative revenue adjustment of five and eight-ninths basis points. For 2017, Pipeline Safety Staff cited KEDLI for one high risk and zero other risk violations, which resulted in a negative revenue adjustment of one-quarter of one basis point.

Q. How did the Companies perform in 2018?

A. The non-compliance data from 2018 is currently under review by Pipeline Safety Staff.

Q. How should KEDNY and KEDLI use the incurred revenue adjustments?

A. As previously mentioned, KEDNY and KEDLI have earned a total of 15 and 14 basis points in positive revenue adjustments and incurred a total of 120 and four-ninths and 18 and one-quarters basis points in negative revenue adjustments, respectively. The net balance of the revenue adjustments should be used to offset costs associated with pipeline safety-related programs; such as residential methane detectors,

low-pressure main valve installations, and the mapping of instrument and regulation control lines. The offset costs associated with pipeline safety-related programs are further discussed in the Staff Gas Infrastructure and Operations Panel Testimony. We also recommend that KEDNY be required to file a plan for the use of excess negative revenue adjustment funds for pipeline safety programs within 90 days of a Commission order in this proceeding. Prior to filing this plan, KEDNY should be required to consult with Pipeline Safety staff. The plan should detail how the excess funds are to be spent and over what period.

Q. Are there any potential penalties resulting from the Companies non-compliance with the pipeline safety regulations?

A. Yes. Regarding KEDLI, the November 15, 2018 Order Instituting Proceeding and to Show Cause, issued in Case 18-G-0094, identified multiple instances of non-compliance with the cathodic protection requirements for its Northport Facility. Regarding both KEDNY and KEDLI, the July 12, 2019 Order Instituting Proceeding and

to Show Cause, issued in Case 17-G-0317, identified multiple instances of non-compliance with operator qualifications, performance, and inspection requirements with respect to work completed by Company and contractor personnel.

Q. Do the Companies propose to update or modify their compliance mechanism?

A. Yes. Both KEDNY and KEDLI propose to adjust the structure and reduce the total potential negative revenue adjustments from 100 basis points to 75 basis points per year.

Q. What does the Panel recommend?

A. The Panel agrees with the concept of modifying the structure of the mechanisms and with the reduction in the negative revenue adjustments from 100 to 75 basis points per year.

Q. Why does the Panel consider the decrease in exposure from 100 to 75 basis points reasonable?

A. The decrease in exposure is due to the re-allocation of basis points to more appropriately balance the Companies' exposure among the pipeline safety performance measures. In this case, the negative revenue adjustments associated with compliance should decrease by 25

basis points which is also consistent with those of other LDCs.

Q. Please explain the Panel’s recommendations for high risk violations found during the record audits.

A. The first five high risk violations would not subject the affected Company to negative revenue adjustments; from the sixth to the twentieth high-risk violations, the affected Company would incur one-half of one basis point per violation; and for each high-risk violation greater than 20, the affected Company would incur one basis point per violation.

Q. Please explain the Panel’s recommendations for other risk violations found during the record audits.

A. For the first 15 other risk violations, the affected Company would not be subject to negative revenue adjustments. For each other risk violation greater than 15, the affected Company would incur one-fourth of one basis point per violation.

Q. Please explain the Panel’s recommendations regarding high risk violations found during

field audits and investigations.

A. For field audits and investigations, the affected Company would incur negative revenue adjustment of one-half of one basis point for each of the first 20 high-risk violations; for each high-risk violation in excess of 20, the Companies would incur negative revenue adjustments of one basis point per violation

Q. Please explain the Panel’s recommendations regarding other risk violations found during field audits and investigations.

A. For all other risk violations identified during field audits and investigations, the affected Companies would incur negative revenue adjustments of one-fourth of one basis point per violation.

Q. Does the Panel recommend associated positive revenue adjustments for the non-compliance measure?

A. No. We do not recommend associated positive revenue adjustments for this performance measure. These audits and investigations are focused on compliance with the minimum pipeline safety requirements. Therefore, the Companies

should not be compensated for satisfying their obligation to comply with minimum pipeline safety requirements.

Q. Does the Panel recommend a cap for the associated negative revenue adjustments for record audit violations of a given code section?

A. Yes. We recommend a ten violation cap for repeated record audit violations of each of the code sections identified in Exhibit__(PSP-2).

Q. Does this mean that Pipeline Safety Staff would not pursue enforcement if there were more than 10 violations of a given code section?

A. No. We consider more than 10 record audit violations of a single code section to be gross non-compliance with regulatory requirements, which would necessitate additional action. Should either Company incur more than 10 record audit violations of a single code section, that Company should be required to file, in these proceedings, a remediation plan that explains how it will address and resolve the compliance issues. This plan should include dates by which all cited violations will be brought into compliance or, where appropriate, when remedial

actions will be taken to mitigate recurrence. The filing should be made within 90 days of Pipeline Safety Staff's audit letter. Such gross non-compliance could be subject to separate enforcement actions by the Commission.

Q. If KEDNY or KEDLI fails to comply with their implementation plan, how should those violations be treated?

A. Should either KEDNY or KEDLI fail to comply with their implementation plan, those violations of a given code section in excess of 10 should count toward the negative revenue adjustments under the compliance measure.

Q. Does the Panel recommend a violation cap for repeated field audit violations of a particular code section?

A. No. Field audit and investigation violations are typically discovered when Pipeline Safety Staff witnesses the Company performing an action or task. Notwithstanding Pipeline Safety Staff's presence, violations of the minimum pipeline safety regulations or the Companies' procedures still occur. Pipeline Safety Staff expects that the Companies' performance is at

its best while being observed. Therefore, any field audit or investigation violation could indicate a lack of competency in performing the action or task.

Q. Why does the Panel recommend that the Companies file and execute an implementation plan for more than 10 record audit violations of a single code section?

A. The compliance mechanism provides a financial disincentive for non-compliance with the pipeline safety regulations. If the financial disincentive is insufficient to induce compliance, such that a company violates a specific code section more than 10 times, then additional measures are necessary to change the performance. It is critical for the Commission to be able to address all violations of its pipeline safety regulations given the potential for serious harm. The implementation plan would provide a specific mechanism to further this goal and may avoid the need for formal penalty actions against the Companies for each record audit violation. The Commission, however, always has the authority to pursue a penalty

action to promote regulatory compliance notwithstanding any financial disincentive or reporting requirement that also may be in place.

Q. Should either the compliance mechanism or the associated revenue adjustments expire?

A. No. The compliance mechanism and associated revenue adjustments should remain in effect until changed by the Commission.

FIRST RESPONDER TRAINING

Q. What enhancements did the Companies propose to their first responder training programs?

A. In their response to IR DPS-674, KEDNY and KEDLI propose to hire two full-time equivalent instructors to conduct the “Train the Trainer” and “Hands-On Training” programs within their respective service territories. The instructors and the Companies’ subject matter experts will work with the New York State Association of Fire Chiefs and the Fire Department of New York to refine first responder training procedures for natural gas emergencies.

Q. Does the Panel have any recommendations with respect to the Companies’ first responder

training programs?

A. Yes. The Companies must maintain continual efforts to train first responders.

Q. How do continual efforts benefit first responders and, ultimately, customers?

A. First responders would be better informed on how to respond prior to an incident. Continuing these efforts would reinforce the actions first responders should take, and those to avoid, during an incident and would educate first responders on how to safely operate certain field devices. Familiarity with equipment should reduce response time and minimize the potential for escalated incidents by reducing errors made in a haste to render a situation safe. Also, improved training would enhance the safety of the first responders by providing more situational awareness of their surroundings and the effects of their actions.

Q. What does the Panel recommend the Companies do to expand and continue these efforts?

A. We support the Companies continued efforts in their first responder training programs, and further recommend that they adopt the principles

of the Pipeline Emergency Responders Initiative (PERI). Also, the Companies should conduct regular drills with local fire departments and municipalities and provide, under this case, an annual report detailing its progress including, but not limited to, the date and times of the drills, who was in attendance, what topics were reviewed, and any applicable recommendations.

Q. What is PERI?

A. PERI is a training program used to prepare fire departments to prevent and manage pipeline incidents.

Q. To date, have the Companies incurred any costs associated with PERI?

A. No. This is a newer initiative and the Companies have not yet incurred any associated costs.

RESIDENTIAL METHANE DETECTORS

Q. What do the Companies propose for their residential methane detector programs?

A. On pages 43 through 44 of the Gas Safety Panel's direct testimony, KENDY and KEDLI propose to annually distribute approximately 54,000 and

36,000 residential methane detectors, respectively. The Companies intend to target customers with room meter sets, low income customers, multi-unit residences, and customers served by two and four-inch, cast iron piping. The Companies included the costs for these programs in the revenue requirements but state that they are willing to fund these programs through the negative revenue adjustment deferrals.

Q. Do the Companies plan to install these methane detectors for selected recipients?

A. No. The Companies propose to purchase and distribute the methane detectors.

Q. What does the Panel recommend?

A. We support the proposed residential methane detection programs and the use of negative revenue adjustment deferrals to mitigate rate impacts. The Companies should coordinate their efforts with other planned work to minimize associated costs. The Panel further recommends that the Commission direct the Companies to submit an annual report indicating, at a minimum, deployment strategies and associated

costs to date.

Q. Does the Panel have any other recommendations regarding residential methane detectors?

A. Yes. We support the use of unspent research and development funds to offset the costs associated with deploying advanced residential methane detectors.

Q. What are advanced residential methane technologies?

A. Advanced residential methane technologies devices capable of communicating with the utility’s equipment.

Q. Do the Companies currently poses the infrastructure capable of supporting advanced residential methane technologies?

A. No. The Companies would respectively budget the unspent research and development funds to develop an implementation plan to install required infrastructure compatible with that of advanced residential methane technologies. We recommend that the Commission direct the Companies to submit their plans within 90 days of the Commission’s order setting rates in these proceedings.

SERVICE LINE PROCEEDING

Q. What is the service line proceeding?

A. In its April 2, 2015 Memorandum and Resolution Adopting Gas Safety Regulation Amendments, issued in Case 14-G-0357, the Commission adopted a new definition of gas service line, set forth in 16 NYCRR §255.3(a)(43). Under this new definition, service lines extend to the outlet of each customer's meter, or at the connection to a customer's piping, whichever is further downstream. This includes meters located inside a building and those inside each apartment within a larger apartment building.

Q. What are the impacts of this definition change?

A. The primary impact of this change relates to the Companies obligations to inspect piping inside all buildings up to the gas meter, and to add training, qualification, and testing for individuals who make repairs on inside gas piping, upstream of the meter.

Q. Did the Companies address the impacts from the service line proceeding in their testimony?

A. Yes. On pages 17 through 20 of the Gas Safety Panel's direct testimony, KEDNY and KEDLI

requested additional operational and maintenance funding related to their obligation to perform leakage survey inspections, atmospheric corrosion inspections, necessary repairs resulting from the inspections, and additional full-time equivalent inspectors.

Q. When should the Companies perform these additional inspections?

A. To reduce costs, KEDNY and KEDLI should complete most of the inspections during their normal course of business and during dedicated visits for other purposes, such as service reconnections. For some locations with inside meters, multiple attempts to inspect may be required due to the Companies inability to access the building.

Q. Have the Companies started these inspections?

A. Yes. As required by the April 20, 2017, Order Establishing Statewide Inspection Schedules and Procedural Requirements and the August 3, 2017, Order Granting in Part Petitions for Rehearing, Reconsideration and Clarification in Case 15-G-0244, KEDNY and KEDLI began their leakage surveys and atmospheric corrosion inspections.

The Commission's orders required natural gas utilities to begin inspections of inside piping in business district locations as of April 20, 2017. In their response to IR DPS-675, KEDNY and KEDLI explained that they have inspected 100 percent of their baseline inspections within business districts.

Q. What does the Panel recommend?

A. While the Companies met their statutory requirements to perform leakage survey and atmospheric corrosion inspections within business districts, we do not view the associated costs to access inside services within business districts reasonable. This Panel recommends that KEDNY and KEDLI submit a procedure by which they will automatically apply a provision (for example, after one refusal, two scheduled and then cancelled appointments, or if they do not respond to notifications). In applying the provision, the Companies would reduce the costs associated with revisiting the same address on multiple occasions. The amounts collected under the penalty provision should be used to offset the cost of service line

inspections. In addition, we recommend that KEDNY and KEDLI coordinate inside service line inspections with other activities. This would include, but not be limited to, meter replacements, removal of inactive meters, and complaint investigations.

NEW YORK CITY LOCAL LAW 152

Q. What is New York City Local Law 152?

A. In 2016, the New York City Council passed Local Law 152 (Local Law 152), which requires owners of buildings in New York City, other than those classified in occupancy group R-3, to perform periodic inspections of their buildings' natural gas piping. Occupancy group R-3 building are primarily residential buildings with no more than two dwelling units. The natural gas piping inspected under Local Law 152 would include the jurisdictional inside piping from the service line definition change. The inspections required by Local Law 152 would include examinations for atmospheric corrosion and testing for leakage.

Q. What is the status of Local Law 152?

A. The New York City Department of Buildings (DOB), which is the agency with primary enforcement responsibility, issued proposed rules on November 30, 2018. Comments on the new rules were due on January 2, 2019. As it stands, the proposed rules have several issues that would, if adopted, require duplicative inspections, one performed to meet requirements on the building owner and a second one performed to meet requirements on the utility pursuant to State and Federal regulations, based on the definition of service line. This outcome would be inefficient, burdensome, and more expensive to customers.

Q. Explain the issues with the current rule as identified by the Panel.

A. There are three issues with the DOB rules as proposed which prevent the inside inspections required by building owners from satisfying the Companies' obligations to perform inspections under the new service line definition. The first issue is that the DOB regulations do not require the plumber performing the inside inspections to meet minimum training and

qualification standards that require persons performing these inspections to be operator qualified and to be part of a drug and alcohol testing program; both of which are requirements of the pipeline safety regulations. Without those requirements, the inspections performed by the plumber would not be valid for the inspections required of the Companies.

Q. What does this Panel mean when it uses the term plumber?

A. We refer to licensed master plumbers or individuals under the direct and continuing supervision of licensed master plumbers, as stated in Local Law 152 §28-318.3.

Q. What is the second concern with the current proposed rules?

A. The proposed rules do not explicitly require inside inspections for natural gas piping in tenant spaces, for example, within apartments. If the proposed rules do not require inspections within tenant spaces, the inside piping associated with meters inside apartments would not be inspected by the plumber and would require a separate inspection by the Companies.

Q. What is the third issue with the current proposed rules?

A. The timeframes proposed by the DOB do not align with the inspection timeframes prescribed by the pipeline safety regulations. Local Law 152 requires inspections once every five years but allows for modifications to the timeframe by the Commissioner of the DOB if the Public Service Commission adopts an alternate inspection schedule. In contrast, the rules proposed by the DOB require an inspection once every five years with no option or opportunity for modification. KEDNY and KEDLI perform leakage surveys in business districts on an annual basis and in non-business districts every three years. As a result, the DOB inspections will be scheduled on a different cycle than those inspections required to be performed by the Companies.

Q. Given these issues, what does this Panel recommend?

A. The Panel recommends that KEDNY and KEDLI continue to work with DOB to further align the proposed rules implementing Local Law 152 with

the inspection requirements of the service line definition change. If the proposed rules are adopted as issued without modification, we recommend that KEDNY and KEDLI be required to file a plan, within 60 days of issuance of the DOB's final rule or within 60 days of the Commission's order setting rates in these proceedings, whichever is later, detailing how the Companies will work with building owners to encourage the use plumbers who can perform the inspections in compliance with the requirements of the pipeline safety regulations. This could include providing equipment that electronically transmits inspection and survey data to the Companies, which may encourage building owners to hire licensed master plumbers that are operator qualified and under a drug and alcohol testing program, as the most efficient way to complete all inspections of the building. Further, KEDNY and KEDLI should conduct an education campaign to explain to building owners the benefits of having a single inspection performed, including the reduced burden on building owners and their tenants with respect

to the coordination and scheduling of inspections. Insofar as the DOB's rules are not final, the amount the Companies can collect in rates for the inspections should be a placeholder with a reconciliation to a new estimate once the final rules are issued.

OUTSIDE METERS

Q. What are the benefits of outside meters?

A. The primary benefit is that outside meters are safer than inside meters. In the event of an emergency, outside meters allow utility personnel and/or emergency responders to quickly shut off the flow of gas without entering the building and without having to locate the curb valve. An additional benefit is that a utility does not require access to the premises in order to perform the required leakage surveys and atmospheric corrosions inspections.

Q. Do the Companies have programs to move meters outside?

A. Yes, pursuant to the 2016 Rate Orders, KEDNY and KEDLI are required to move meters outside congruent with any planned service line

replacements, new service installations, or under other circumstances that offer the customer and the Companies the opportunity to relocate the meter outside.

Q. What does the Panel recommend?

A. We recommend that the Companies be required to move meters outside whenever they perform any service line replacements, either by insertion or direct burial. This would be for any reason, for example, as part of LPP removals or to repair a leak. In addition, KEDNY and KEDLI should also move meters outside whenever it performs service transfers, which is when it moves an existing service line to a newly installed pipeline. The Panel recommends that the Companies be required to submit an annual report indicating the amount of service work it performed in that year and the number of meters it moved outside as part of that work.

Q. Why does the Panel recommend this?

A. When the Companies perform service work, they have a construction crew on site and often are already interrupting service to the customer. Moving the meter outside at this time is the

most convenient, cost effective, and practical time to do so. Since the Companies replace a leak-prone service with modern materials, it is unlikely it will return to perform additional work in the near future. Therefore, the Companies should avail themselves of the opportunity to relocate the meter outside at the time of replacement.

INACTIVE ACCOUNTS

Q. In their filing, did the Companies address inactive accounts, or natural gas accounts without a customer of record?

A. Yes. On pages 22 through 24 of the Gas Safety Panel's direct testimony, the Companies proposed to implement a 30-day inactive account process, phased in over three years. KEDNY and KEDLI are requesting 108 and three full-time equivalent positions, respectively, in order to implement the inactive account programs. These positions are spread across the areas of "field operations, CMS, call center, legal, and back office".

Q. Please explain the reasons accounts remain

inactive.

A. There are many reasons that accounts remain inactive, including the Companies' inability to gain access, the referral of accounts to field operations for physical disconnection, and the legal replevin process used to secure access to the customer's premises.

Q. Should all meters and service regulators be installed in a readily-accessible location?

A. Yes. Pursuant to 16 NYCRR §255.353(a), all meters and service regulators are required to be installed in a readily-accessible location and be protected from corrosion and other damage, including any vehicular damage that may be anticipated.

Q. How much natural gas usage is associated with inactive accounts?

A. In their response to IR DPS-670, KEDNY and KEDLI stated, from 2014 through 2018, 1,980,919 and 90,362 hundredths of cubic feet (CCF) were consumed by 28,490 and 1,575 inactive accounts, respectively.

Q. Does the Panel consider these volumes lost and unaccounted for natural gas?

A. Since these volumes are accounted for by inactive accounts, they should not be considered lost and unaccounted for gas. The Companies are responsible for properly accounting for these volumes and should adjust the lost and unaccounted for gas calculation in the Companies' annual reconciliation of costs so that customers do not pay for these volumes.

Q. How do the pipeline safety regulations treat the abandonment or inactivation of facilities?

A. The Commissions' regulation, 16 NYCRR §255.727(d), requires one of following: closing the valve to prevent the flow of gas with a locking device or other means designed to prevent the opening of the valve by persons other than those authorized by the operator; install a mechanical device or fitting that will prevent the flow of gas in the service line or in the meter assembly; or physically disconnect the building's or unit's piping from the gas supply and seal the open pipe ends.

Q. Is there a timing requirement to commence the abandonment or deactivation of a facility?

A. While not explicitly defined within the pipeline

safety regulations, it is important to note that the regulations do not recognize an active service without a customer, and it is a requirement for LDCs to commence this process as soon as practicable. The regulations do require each segment of pipeline that becomes unsafe to be replaced, repaired, or removed from service, and specifically requires certain action take place when service is discontinued.

Q. What does the Panel recommend with respect to inactive accounts?

A. This Panel recommends that KEDNY and KEDLI be required to take immediate and continuous action for inactive accounts pursuant to the Commissions' regulation, 16 NYCRR §255.727(d). While we are supportive of the Companies efforts to date, pursuant to 16 NYCRR §255.353(a), the Companies are required to install all meters and services in a readily-accessible location that is protected from corrosion and other damage, including any vehicular damage that may be anticipated. Therefore, when the Companies encounter any meters or services that are not readily-accessible, it should be required to

take immediate and continuous action to remedy these conditions to comply with the Commission's regulation.

METHANE LEAK PILOT PROGRAM

Q. Please explain the methane leak pilot program.

A. On pages 45 through 46 of the Gas Safety Panel's direct testimony, the Companies propose: to explore the use of cavity ring down spectroscopy (CRDS) to enhance their leak repair programs; "to hire a contractor to operate a Google car with CRDS technology for use in areas previously identified as possible high leak concentration areas to aid in prioritizing for repair possible large emitters within those areas"; and to hire an incremental full-time equivalent natural gas distribution engineer.

Q. What would be the responsibilities of the full-time equivalent engineer?

A. In their response to IR DPS-280, the Companies explain that the full-time equivalent engineer would be responsible to engage a contractor, manage the contract, manage field investigations and repairs, investigate other leak emission

technologies, and to generate reports.

Q. Are CRDS devices approved for use in New York State?

A. According to the Department of Public Service Pipeline Safety Program website, CRDS devices are not yet approved for leakage surveys or leakage investigations within New York State. The website is available at: http://www3.dps.ny.gov/W/PSCWeb.nsf/All/F8539043E0B4A5698525841F005A64E4?OpenDocument.

Q. What does the Panel recommend?

A. While this Panel is supportive of the research and development of CRDS-like technologies, and the use of a contractor for data acquisition, the Panel is not supportive of the full-time equivalent engineer to manage the methane leak pilot program.

Q. Please explain why this Panel is not supportive of the full-time equivalent engineer.

A. At this point in time, it would be inappropriate for customers to pay for the additional full-time equivalent engineer to manage a methane leak pilot program for an unapproved leak detection device.

Q. How should the methane leak pilot program be managed?

A. The methane leak pilot program should be incorporated into the Companies' research and development efforts.

Q. Does the Panel have further recommendations?

A. Yes, the Panel further recommends that the Commission direct the Companies to submit an annual report on the progress of this pilot. This annual report, at a minimum, should include: a listing of the highest emitting leaks that were discovered by the CRDS device; leak rankings; leak locations; leak identification numbers; and relative methane emissions.

ENHANCED CONTRACTOR SAFETY INSPECTIONS

Q. What are enhanced contractor safety inspections?

A. On pages 20 through 22 of the Gas Safety Panel's direct testimony, the Companies propose to enhance the contractor safety inspections program by assigning one inspector to every contractor crew. Currently, a single inspector is assigned to cover multiple crews by rotating through work schedules.

Q. What would be the responsibilities of the proposed full-time equivalent inspectors?

A. These safety and compliance inspectors would perform on-site inspections including field verification of operator qualifications, ensuring compliance with applicable pipeline safety regulations and procedures, and ensuring safe work practices.

Q. What do the Companies propose for their enhanced contractor safety inspection programs?

A. On pages 20 through 22 of the Gas Safety Panel's direct testimony, KENDY and KEDLI propose to hire 125 and 74 incremental full-time equivalent inspectors, respectively. These full-time equivalent inspectors would be phased-in with the program over three years.

Q. Will these safety and compliance inspectors be performing duties other than those described?

A. Yes. In their response to IR DPS-676, the Companies stated that "there may be occasions, where the workload is light, that the supervisors and inspectors may perform functions outside of their normal duties." The Companies estimated that approximately five-percent of the

inspectors' time would be dedicated to other duties.

Q. What does the Panel recommend?

A. This Panel is supportive of the enhanced contractor safety inspection programs. However, the requested full-time equivalent positions for KEDNY and KEDLI should be reduced by five-percent to 118 and 70, respectively, to reflect the estimated workload.

BURIED VENT LINES

Q. Please explain the buried vent line programs.

A. On pages 35 through 36 of the Gas Safety Panel's direct testimony, the Companies "estimate that approximately five-percent of their respective high-pressure services with inside meter sets have regulator vent lines that are buried underground. Buried vent lines are more susceptible to corrosion and damage because the vent pipes are not coated and do not have cathodic protection. Corroded and/or damaged vent lines pose an increased risk for gas migration into a building or regulator over-pressurization caused by water intrusion and/or

freeze-ups caused by extreme weather.

Q. Were there any recent incidents where a buried vent line could have caused an over-pressure situation?

A. Yes. "In February 2016, KEDNY experienced an incident on its system that involved a buried vent line that was found to be corroded and could have contributed to an over pressure condition due to freezing water in the regulator."

Q. What do the pipeline safety regulations require with regard to cathodic protection of buried pipelines?

A. Pursuant to 16 NYCRR §255.455(a), "Except as provided in subdivisions (b), (c), and (f) of this section, each buried or submerged pipeline installed after July 31, 1971, must be protected against external corrosion. (1) It must have an external protective coating meeting the requirements of section 255.461 of this Part. (2) It must have a cathodic protection system designed to protect the pipeline in its entirety, installed and placed in operation within one year after completion of

construction."

Q. Are there cathodic protection regulations for buried pipelines installed before August 1, 1971?

A. Yes.

Q. Do the Companies know when the identified buried vent lines were installed?

A. No, not at this time. In response to IR DPS-678, the Companies stated that "[r]egulator vent lines are installed at the time of the original service and/or service regulator. The Companies have not identified installation dates of the buried vent lines that have been identified through the inside service line inspections to date."

Q. Is this response acceptable?

A. No. Vent lines are a critical component to the safe and reliable distribution of natural gas through pipelines. Should a regulator experience an over pressure situation, the vent line would transport the excess natural gas to a safe location; typically, venting into the atmosphere outside of the building. Should a vent line, or particularly a buried vent line

become compromised - either through damage, or corrosion - the potential for an over pressure situation exists.

Q. Are the Companies required to maintain maps or records of service lines?

A. Yes. Pursuant to 16 NYCRR §255.603(c), “Each operator shall establish and maintain the maps of its transmission lines and distribution mains and maps or records of its service lines as necessary to administer its operating and maintenance plan.”

Q. Are buried vent lines included within the definition of a service line?

A. Yes. Pursuant to 16 NYCRR §255.3(a)(43), service line is defined as “the piping, including associated metering and pressure reducing appurtenances, that transports gas below grade from a main or transmission line to the outlet of the customer meter or at the connection to a customer’s piping, whichever is further downstream where a meter is located within the building; if a meter is located outside the building, the service line will be deemed to terminate at the outside of the

building foundation wall."

Q. What does the Panel recommend?

A. At this time, the Panel does not view the Companies' efforts with regards to buried vent lines as acceptable. At a minimum, buried vent lines should have already been identified by the Companies, not as a part of their inside service line inspection programs, but as a part of their operating and maintenance plans. Thus, any requested funding for the buried vent line programs should be borne by the shareholders and not the customers due to the Companies failures to adequately address the vent lines in the past.

ANNUAL REPORTING REQUIREMENTS

Q. Does the Panel recommend any other conditions that the Companies be required to meet related to the Panel's safety-related performance measure recommendations?

A. We recommend that the Companies be required to submit annual reports on their performance related to LPP removal, leak management, damage prevention, and emergency response by February

28th of the following calendar year. We recommend that this report be required annually until changed by the Commission.

Q. Does this complete the Panel's testimony at this time?

A. Yes.